Table 8.5 Simple Momentum Example

	Stock Returns	1+Return	Momentum
January	1.00%	1.01	
February	2.00%	1.02	
March	–1.00%	0.99	
April	0.50%	1.01	
May	–2.00%	0.98	
June	5.00%	1.05	
July	–0.50%	1.00	
August	1.00%	1.01	
September	–3.00%	0.97	
October	4.00%	1.04	
November	2.00%	1.02	
December	–1.00%	0.99	9.07%

Momentum sounds too good to be true. What's the catch? One issue is that trading costs can negatively affect momentum strategies, as pointed out by Lesmond, Schill, and Zhou. An investor in momentum strategies should expect to lose around 2.40 percent per year (0.20 percent per month) due to the frequent rebalancing required.[24] When faced with these trading costs, as well as high short-term capital gain rates, the benefits of a momentum strategy quickly evaporate. A common solution to the trading and tax costs is to propose a less-frequent rebalance interval of one year. Unfortunately, in contrast to value strategies, momentum strategies lose most of their edge if they are not rebalanced frequently.

Table 8.6 shows the results from January 1, 1927, until December 31, 2014, when varying the holding periods. When holding firms for over a month, we form overlapping portfolios. An example of a 3-month hold portfolio would be as follows: on January 1, buy the top decile and hold until March 31; on February 1, buy the top decile and hold until April 30; on March 1, buy the top decile and hold until May 31. So the portfolio return during March would be the equal-weighted basket of the stocks added on January 1, February 1, and March 1.